Basis For Comparison:

S.No.	Content	Cheque	Demand Draft
1.	Meaning	Cheque is a negotiable instrument which contains an order to the bank, signed by the drawer, to pay a certain sum of money to a specified person.	Demand Draft is a negotiable instrument used for the transfer of money from one place to another.
2.	Payment	Payable either to order or to bearer	Always payable to order of a certain person
3.	Issuance	Cheque is issued by an individual.	Demand Draft is issued by a bank.
4.	Bank Charges	No charges are payable	Charges are paid based on the amount of the draft.
5.	Drawer	Customer of the bank.	Bank itself
6.	Parties Involved	Three Parties- Drawer, Drawee, Payee.	Three Parties- Drawer, Drawee, Payee.
7.	Dishonor of cheque & draft	Cheques can be dishonored due to insufficient balance or other similar reasons.	Drafts cannot be dis-honored.

Points to be Remembered:

- Meaning- A bank is generally understood as an institution which provides fundamental banking services such as accepting deposits and providing loans.
- Definition-Any activities involved in accepting and safeguarding money owned by other individuals and entities, and then lending out this money in order to earn a profit".
- Types of deposit includes Saving deposit, Current deposit, Recurring deposit and Fixed deposit.
- Procedure for opening of bank account includes the following steps.
- Decide the Type of Bank Account you want to open.
- Approach any Bank of choice & meet its Bank Officer.

OSS_EM_Chapter_9.indd 162 01-03-2019 10:46:45